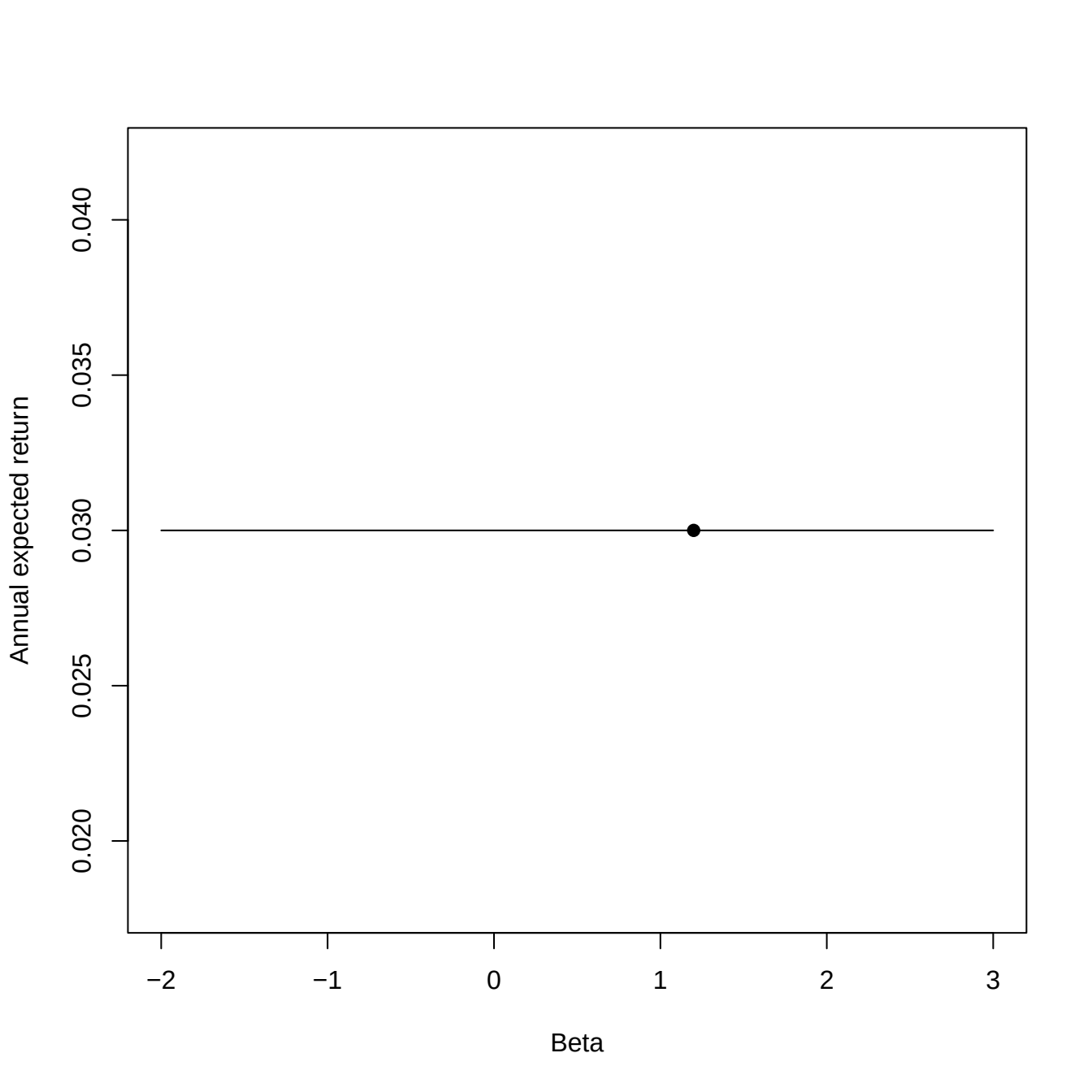
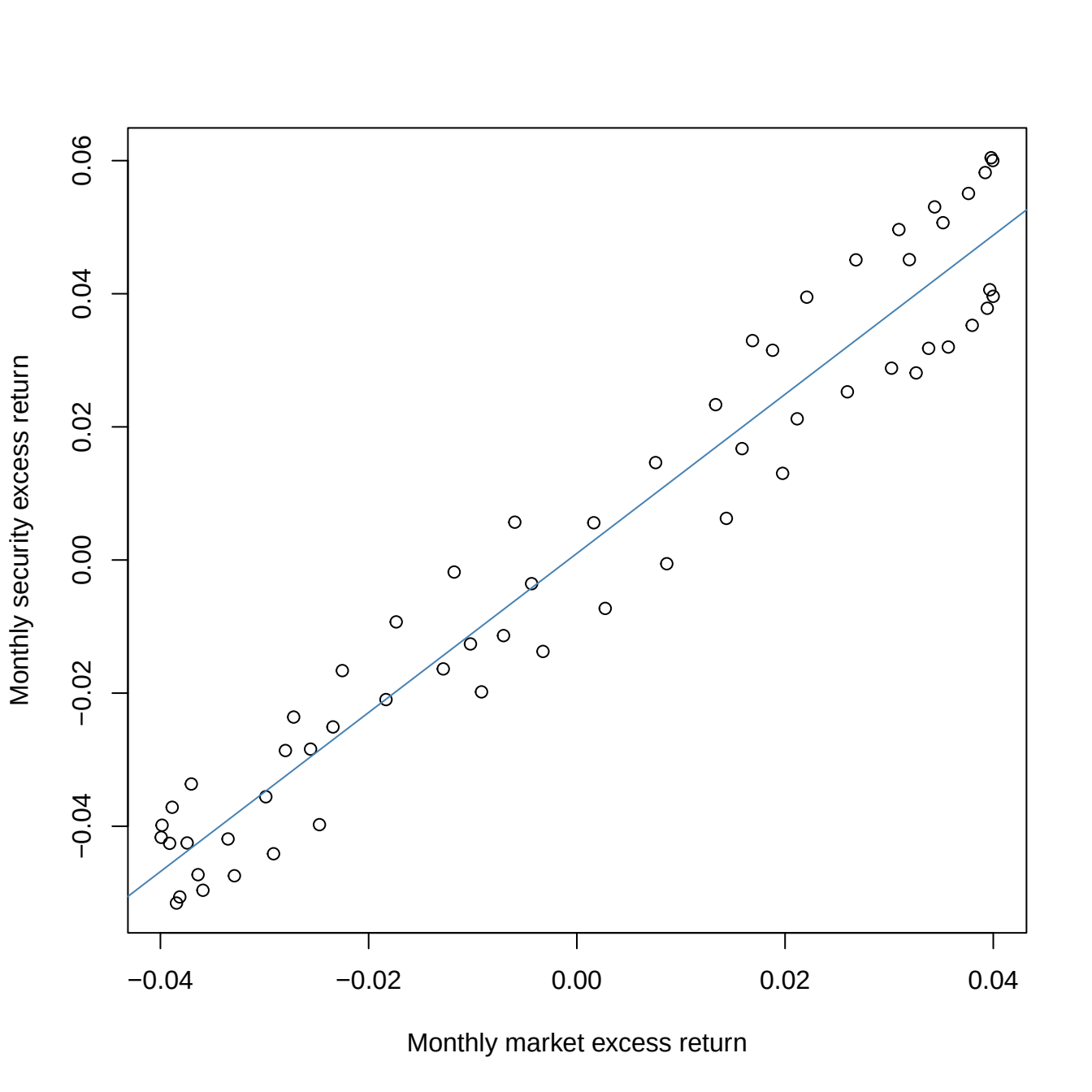

Annual expected return
0.020
0.025
0.030
0.035
0.040
−2
−1
0
1
2
3
Beta


Monthly security excess return
0.06
0.04
0.02
0.00
−0.02
−0.04
−0.04
−0.02
0.00
0.02
0.04
Monthly market excess return